

22STCV07432 22STCV07432

County: los-angeles

Division: Civil Law and Motion

Department: 509

Hearing date: 2026-09-15

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C509%2C09%2F15%2F2026

Source SHA-256: e17293adb1f1c3b27c04a3e0724772df59693d9b84ca7e6f0d765d3347c70f19

Case Number: 22STCV07432 Hearing Date: September 15, 2026 Dept: 509

Vitoli Builders, Inc. v. Jonathan Goldhammer, et al.

MOTION FOR LEAVE TO FILE SECOND AMENDED CROSS-COMPLAINT

MOVING PARTY: Defendant/Cross-Complainant Jonathan Goldhammer

RESPONDING PARTY(S): Plaintiff/Cross-Defendant Vitoli Builders, Inc. and Cross-Defendant Reuven Nathaniel Litman

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Vitoli Builders, Inc., (Vitoli) is a Los Angeles-based company providing landscaping and related services to high-net-worth customers. Through the course of business, Vitoli alleges it maintained “customized invoices” and “customized contracts” as an advantage over its competitors. Vitoli alleges two of its former employees, Jonathan Goldhammer and Itay Zeltser—along with Goldhammer’s wife, Moran Vaknin—stole Vitoli’s trade secrets to use in a competing business, Sequoia Pools and Masonry, Inc.

Jonathan Goldhammer (Goldhammer) filed a cross-complaint against Vitoli and its sole shareholder, Reuven Nathaniel Litman (Litman, collectively Cross-Defendants). Goldhammer alleged that he is a 50% owner of Vitoli. In the First Amended Cross-Complaint (FACC), Goldhammer alleges: (1) declaratory relief; (2) breach of fiduciary duties; (3, 4) breach of contract; (5) involuntary dissolution; (6) a derivative action for damages; (7) negligence; (8) accounting; and (9) injunctive relief.

On August 27, 2024, this Court granted summary adjudication of the First, Second, Third, Fifth, Sixth, Seventh, Eighth, and Ninth causes of action in the FACC. Since, the operative FACC consists of a sole cause of action for breach of a loan contract.

Now, Goldhammer moves to file a second amended cross-complaint (SACC) to allege causes of action for: (1) breach of contract (loan); (2) failure to pay earned wages and commissions; (3) failure to pay minimum wages; (4) failure to pay overtime; (5) failure to provide accurate wage statements; (6) waiting time penalties; (7) fraudulent concealment; and (8) unfair competition. Cross-Defendants oppose.

TENTATIVE RULING:

Goldhammer's Motion for Leave to File a Second Amended Cross-Complaint is GRANTED.

The standalone Second Amended Cross-Complaint must be filed within 10-days and timely served on all parties as required by law.

Goldhammer is ordered to give notice, unless waived.

DISCUSSION:

Motion for Leave to File Second Amended Cross-Complaint

I. Judicial Notice

Goldhammer requests judicial notice of various documents within the Court record. Pursuant to Goldhammer's request, and without objection, the Court takes judicial notice of Exhibits 1-5.

II. Legal Standard

"The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code." (Code Civ. Pro. §473, subd. (a)(1).)

California courts employ a liberal approach to amendment of pleadings in light of a strong policy favoring resolution of all disputes between parties in the same action. (*Nestle v. Santa Monica* (1972) 6 Cal.3d 920, 939.) Pursuant to this policy, requests for leave to amend will normally be granted unless (a) the party seeking to amend has been dilatory in bringing the proposed amendment; and (b) the delay in seeking leave to amend will cause prejudice to an opposing party. (*Hirsa v. Superior Court* (1981) 118 Cal.App.3d 486, 490.) Absent a showing of prejudice, delay in seeking an amendment alone does not justify denial of leave to amend. (*Higgins v. Del Faro* (1981) 123 Cal.App.3d 558, 564-65.)

"[T]he court's discretion will usually be exercised liberally to permit amendment of the pleadings." (*Howard v. County of San Diego* (2010) 184 Cal.App.4th 1422, 1428.) If a "motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend and where the refusal also results in a party being deprived of the right to assert a meritorious cause of action or a meritorious defense, it is not only error but an abuse of discretion." (*Morgan v. Superior Court of Cal. in and for Los Angeles County* (1959) 172 Cal.App.2d 527, 530; see *Arthur L. Sachs, Inc. v. City of Oceanside* (1984) 151 Cal.App.3d 315, 324 [denial of leave to amend on the eve of trial was error absent a showing a prejudice].)

III. Analysis

A motion to amend must be accompanied by a separate declaration specifying: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (Cal. Rule of Court, rule 3.1324(b).) The Declaration of Peter F. Samuel superficially satisfies this requirement.

While this Court recognizes the delay in presenting this amendment, the viability of the proposed claims, the impact on the impending trial date, and the looming five-year deadline, Goldhammer's requested relief is mandatory.

A compulsory cross-complaint is one whose cause of action "arises out of the same transaction, occurrence, or series of transactions or occurrences as the cause of action which the plaintiff alleges in his complaint." (Code Civ. Proc., § 426.10, subd. (c); see also *Crocker National Bank v. Emerald* (1990) 221 Cal.App.3d 852, 864.) If a party fails to file a compulsory cross complaint at the appropriate time, "such party may not thereafter in any other action assert against the plaintiff the related cause of action not pleaded." (Code Civ. Proc., § 426.30, subd. (a), (b)(2).) Here, the original complaint involves the employment relationship between Cross-Defendants and Goldhammer and the actions taken by the parties during employment. (3/1/22 Compl., generally.) The SACC similarly pertains to the employment relationship between Cross-Defendants and Goldhammer and the actions taken by the parties during employment. Therefore, the SACC would be subject to the compulsory cross complaint statute.

"A party who fails to plead a cause of action subject to the compulsory cross complaint statute, 'whether through oversight, inadvertence, mistake, neglect, or other cause, may apply to the court for leave ... to file a cross-complaint, to assert such cause at any time during the course of the action.'" (*County of Los Angeles v. Quinn Emanuel Urquhart & Sullivan, LLP* (2025) 115 Cal.App.5th 489, 508–509; see Code Civ. Pro. §426.50.) "Even where the motion "is made on the eve of trial," a trial court errs in denying the motion if there is "no substantial evidence to support a finding that [defendants] were acting in bad faith." (Ibid.) This mandatory standard applies regardless of factors such as surprise or undue burden. (*Silver Organizations Ltd. v. Frank* (1990) 217 Cal.App.3d 94, 98-99, [section 426.50 leave was mandatory, not discretionary, even when requested only five days before trial].)

However, this mandatory relief is not absolute. Bad faith or attempts at "legal gamesmanship," may be grounds to deny relief. (See *Green v. Rancho Santa Margarita Mortgage Co.* (1994) 28 Cal.App.4th 686, 693-694.) In the end, the totality of the evidence before the Court does not support a finding of bad faith or gamesmanship at this time.

Finally, Cross-Defendants argue that the amendment would be futile because the claims would be barred by the applicable statute of limitations. (Opp. at p. 12.) Although the Court may deny leave to amend when amendment would be "futile" (i.e., when the proposed amendment does not state a cause of action), here, Goldhammer's proposed causes of action are not facially deficient, and Cross-Defendants arguments are better suited for other motion types, should Cross-Defendants choose to file one. (See *Singh v. Lipworth* (2014) 227 Cal.App.4th 813, 828.) While the application of the statute of limitations appears to be a strong defense of the proposed amendment, the SACC, standing alone, is facially sufficient. Therefore, the "better course of action" is to permit the amendment, "and then let the parties test its legal sufficiency in other appropriate proceedings." (*Atkinson v. Elk Corp.*, supra, 109 Cal.App.4th 739, 760.)

Accordingly, Goldhammer's Motion for Leave to File a Second Amended Cross-Complaint is GRANTED.

IT IS SO ORDERED.

Dated: September 15, 2026 _____

Randolph M. Hammock

Judge of the Superior Court